

24STCV03517 24STCV03517

County: los-angeles

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Case Number: 24STCV03517 Hearing Date: July 23, 2026 Dept: 309

Superior Court of California

County of Los Angeles

DEPARTMENT 17

TENTATIVE

RULING

CRYSTAL Y. JHUN

vs.

LAD-MB, LLC

Case No.: 24STCV03517

Hearing Date: July 23, 2026

The Court awards Plaintiff recovery of prejudgment interest in the amount of \$1,304.11.

On 2/13/2024, Plaintiff Crystal Y.

Jhun (Plaintiff) filed suit against LAD-MB, LLC, US Bancorp, and Travelers Casualty and Surety Company of America, alleging: (1) violations of the Consumers Legal Remedies Act; (2) intentional misrepresentation; (3) concealment; (4) negligent misrepresentation; (5) breach of the implied warranty of merchantability; (6) violation of Civil Code section 1632; (7)

unfair competition; and (8) cause of action under Vehicle Code section 11711.

On 5/27/2026, Plaintiff moved for
prejudgment interest.

Discussion

Plaintiff argues that she is
entitled to prejudgment interest based on Civil Code section 3287(a) and Civil
Code section 3287(b).

Civil Code section 3287(a) provides that “[a] person who is
entitled to recover damages certain, or capable of being made certain by
calculation, and the right to recover which is vested in the person upon a
particular day, is entitled also to recover interest thereon from that day....”
The question is whether “the defendant actually [knew] the amount owed or from
reasonably available information could...have computed that amount.” (Ibid.
(italics omitted).) Thus, “[d]amages are deemed certain or capable of being
made certain...where there is essentially no dispute between the parties
concerning the basis of computation of damages if they are recoverable [even
if] their dispute centers on the issue of liability giving rise to damage.” (Leff
v. Gunter (1983) 33 Cal.3d 508, 519 (internal quotations omitted).)

Plaintiff argues that while
Defendant denied liability, there was never any meaningful dispute concerning
the measure of Ms. Jhun’s damages.

As for Civil Code section 3287(a),
this provision provides that “[e]very person who is entitled under any judgment
to receive damages based upon a cause of action in contract where the claim was
unliquidated, may also recover interest thereon from a date prior to the entry
of judgment as the court may, in its discretion, fix, but in no event earlier
than the date the action was filed.” It “was designed to allow trial courts
flexibility...where the exact amount of damage is in dispute.” (A & M
Produce Co. v. FMC Corp. (1982) 135 Cal.App.3d 473, 496 (disagreed with on
other grounds by Am. Software, Inc. v. Ali (1996) 46 Cal.App.4th 1386).)

Courts have used this flexibility to award prejudgment interest
after considering the following factors: (1) whether the defendant “could have
avoided a lawsuit which awarded [the plaintiff] all [the plaintiff] originally

claimed,” (2) the delay in the payment to the plaintiff resulting from the defendant’s “refusal to do so,” and (3) the benefit to the defendant and loss to the plaintiff from the time the injury occurred. (Esgro Central, Inc. v. General Ins. Co. (1971) 20 Cal.App.3d 1054, 1065.)

In a late filed opposition, Defendants concede that Plaintiff is entitled to some amount of pre-judgment interest—\$1,304.11—but not the full amount sought.

In support, Defendants argue that following:

Defendants accepted Plaintiff JHUN’s California Civil Procedure Code section 998 (“Offer to Compromise”) on March 25, 2026 and judgment was entered on March 26, 2026. Because there is no finding that Defendants were at fault, the March 26, 2026 date of judgment is date from which prejudgment interest is calculated as that is the date her right to recover prejudgment interest vested. Under California Civil Code section 3287(a), the amount of JHUN’s prejudgment interest is correctly calculated using her \$40,000.00 down payment as the principal because this is the only amount that is certain or capable of being made certain by calculation. JHUN miscalculates the amount of prejudgment interest as \$74,219.31 by using her total \$162,313.06 purchase amount (down payment and financing) as the principal and the August 30, 2021 purchase date as the accrual date or, alternatively, as \$63,274.93 by using the dates she made her payments (as itemized in Appendix 2 to her Memorandum) as the accrual dates. JHUN’s counsel, Christopher Barry and Michael Cook, know that this is the incorrect method to calculate prejudgment interest in this circumstance because the Los Angeles County Superior Court recently disapproved of this method in a virtually identical motion for prejudgment interest that they filed (Pedro A. Florida vs. DCH Torrance Imports, Inc., et al., case number 23STCV05345). Defs. RJN Exs. A-C.

Thus, JHUN’s counsel knows that California Civil Code section 3287(a) does not support either of JHUN’s calculations as these amounts of damages were not certain or capable of being made certain by calculation and JHUN’s right to recover damages for rescission was not vested until the March 26, 2026 judgment. They also know that California Civil Code section 3287(b) does not support either calculation, as JHUN’s remedy of rescission disaffirmed the sales contract. For these reasons, the Court should not permit JHUN to recover an amount of prejudgment interest greater than \$1,304.11

(Opp, 1: 2-22.)

After review, the Court finds that:

(1) Plaintiff's right to prejudgment interest did not vest until judgment was entered on 3/26/2026, rather than 8/30/2021 as proposed by Plaintiff; and (2) that the ascertainable amount of damages from which to calculate from is \$40,000 damages, based on Plaintiff's down-payment, rather than the \$40,000 plus the additional \$122,313.06 in financing that was included in Plaintiff's proposed calculation.

This is based on a number of findings.

First, California Civil Code section

3287(a) provides, in pertinent part, "A person who is entitled to recover damages certain, or capable of being made certain by calculation, and the right to recover which is vested in the person upon a particular day, is entitled also to recover interest thereon from that day . . ."

Here, the parties rescinded

the sales contract by mutual agreement. Defendants accepted Plaintiff's Offer to Compromise and judgment was entered on 3/26/2026. (McGreevy Decl., Exs. A-B.) California Civil Procedure Code (CCP) section 998 expressly states, "[a]ny judgment entered pursuant to this section shall be deemed to be a compromise settlement." "Due in no small part to this language, a compromise settlement entered into under section 998 does not constitute a judicial determination of.., liability." (Laxague v. Fireman's Fund Ins. Co. (1990) 220 Cal.App.3d 530, 535.) Accordingly, this action settled without a finding of fault.

Second, although California Civil Code section 1692 permits

consequential damages when a contract is rescinded, "[t]he damages available in cases of rescission depend in part on the reasons for which the contract was rescinded." (Sharabianlou v. Karp (2010) 181 Cal.App.4th 1133, 1145.) "[T]he damages available in actions for rescission based upon the fault of the nonrescinding party (such as cases of fraud or misrepresentation) and those not involving fault (such as cases of illegality or mistake) are different [citation omitted]." (Id.a; In Runyan v. Pacific Air Industries, Inc. (1970) 2 Cal.3d 304, 317, the California Supreme Court stated, "We have not found nor has our attention been directed to any reported California decisions

in which the courts have awarded consequential damages when rescission has been sought merely upon the grounds of illegality or mistake [citation omitted]."

Here, as in Florida, the parties voluntarily rescinded the sales contract by mutual agreement. Consequently, there has been no finding of fault and the reasons for otherwise awarding consequential damages are not present here.

Based on the foregoing, the Court awards Plaintiff recovery of prejudgment interest in the amount of \$1,304.11.

It is so ordered.

Dated:
July , 2026

Hon. Jon R. Takasugi

Judge of the
Superior Court

Parties who intend to submit on this tentative must send an email to the court at by 4 p.m. the day prior as directed by the instructions provided on the court website at www.lacourt.org. If a party submits on the tentative, the party's email must include the case number and must identify the party submitting on the tentative. If all parties to a motion submit, the court will adopt this tentative as the final order. If the department does not receive an email indicating the parties are submitting on the tentative and there are no appearances at the hearing, the motion may be placed off calendar. For more information, please contact the court clerk at (213) 633-0517.